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Greater China Technology Hardware | Asia Pacific

Automation – Read-across from China's June Manufacturing PMI

In this report, we focus on China's manufacturing PMI, which we see as a potential catalyst for AirTAC's and Hiwin's share prices.

China's manufacturing PMI edged up to 50.3 in June from 50.0 in May:

- This came in slightly better than our estimate and consensus of 50.1.
- Production index rose 0.2ppt MoM. to 51.4, while new orders index increased 1.3ppt MoM .to 51.2 during the month, led by the quarter-end push and stronger exports amid the global industrial super-cycle.

Our view:

- We continue to see a broad-based recovery within the industrial automation segment playing out, supported by demand from tech, batteries, and other traditional markets.
- We stay OW on both AirTACtac (1590.TW) and Hiwin (2049.TW) within Taiwan's automation group:
 - AirTAC should continue to benefit from its own share gains and incremental contribution from linear guides. Valuation appears undemanding at 21x 2027e P/E (vs. the 25x average since 2020).
 - Hiwin should show more margin expansion in coming quarters, supported by higher utilization and price hikes as delivery lead times keep lengthening. We see potential share price upside at the current 30x 2027e P/E vs. peak cycle valuation of 35-40x.

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**GREATER CHINA TECHNOLOGY HARDWARE**

Asia Pacific

Industry View

In-Line

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Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
AirTAC International 1590.TW			
China June Manufacturing PMI	06 Mar 2026	Unchanged	↑ Modest upside surprise
Hiwin Technologies Corp. 2049.TW			
China June Manufacturing PMI	30 Jun 2026	Unchanged	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 30x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an upcycle, we think applying a peak cycle valuation of 30x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

Hiwin Technologies Corp. (2049.TW)

Base case, P/E. We think this valuation methodology better captures Hiwin's earnings growth momentum, as its valuation tends to move with the business cycle. We apply a target multiple of 37x to our 2027 EPS estimate. We view this multiple as justified by the 44% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger industrial automation demand pickup.
- Market share gains.
- Earlier-than-expected revenue contribution from humanoids.

Risks to Downside

- Weaker industrial automation demand.
- More pricing pressure.
- Market share loss.
- More broad-based impact on the global economy from geopolitical risks.

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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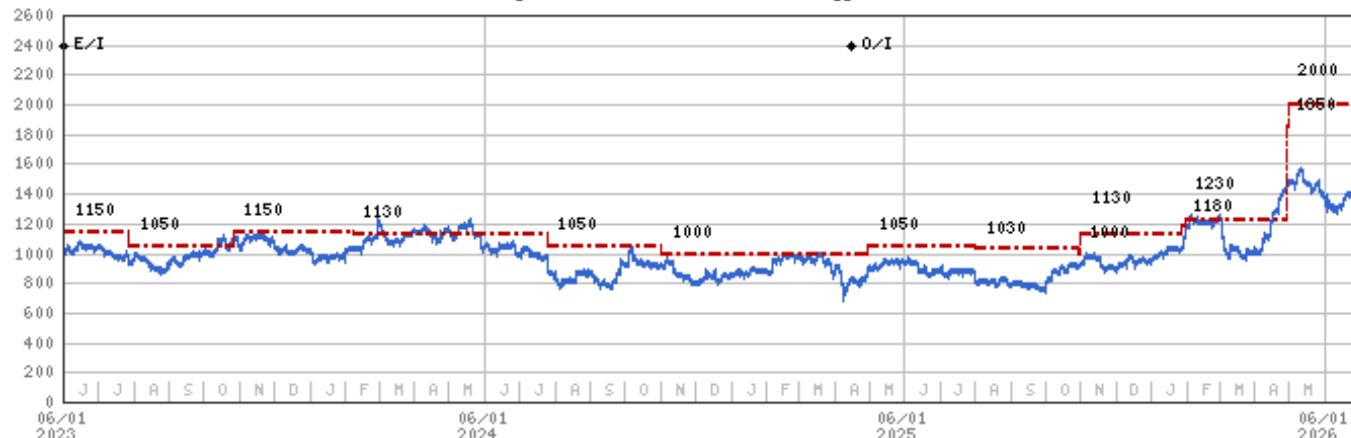
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Stock Price, Price Target and Rating History (See Rating Definitions)

AirTAC International (1590.TW) - As of 06/30/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : O/I; 11/8/21 : E/I; 1/11/22 : O/I; 8/4/22 : E/I; 4/16/25 : O/I

Price Target History: 4/29/21 : 1567.27; 8/5/21 : 1379.98; 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Hiwin Technologies Corp. (2049.TW) - As of 06/30/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 7/1/21 : O/I; 8/11/22 : E/I; 2/21/23 : O/I; 8/11/23 : E/I; 5/12/25 : U/I; 2/27/26 : E/I; 3/30/26 : O/I

Price Target History: 1/20/21 : 556.84; 8/5/21 : 480.04; 10/5/21 : 479.6; 2/28/22 : 341.16; 3/24/22 : 301.61; 7/20/22 : 295; 8/11/22 : 230; 11/21/22 : 200; 2/21/23 : 295; 2/27/23 : 283; 5/10/23 : 280; 8/11/23 : 205; 11/13/23 : 220; 2/27/24 : 210; 8/13/24 : 205; 11/12/24 : 225; 2/27/25 : 310; 5/12/25 : 160; 2/27/26 : 210; 3/30/26 : 300; 4/28/26 : 380; 5/11/26 : 400

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/30/2026)
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Andy Meng, CFA

AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$42.70
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb256.94
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$20.92
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.18
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.49
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb607.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$659.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.59
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.20
Largan Precision (3008.TW)	E (10/17/2025)	NT\$4,290.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.57
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.46
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.86
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb51.17
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$31.42
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb58.95
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$61.00
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb302.68
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.82
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$21.64
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb545.90
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$255.40
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb146.95
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb35.48
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,270.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$22.84
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb36.19

Derrick Yang

Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,495.00
Advantech (2395.TW)	O (01/20/2021)	NT\$492.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,335.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$32.70
Bizlink (3665.TW)	O (03/10/2025)	NT\$1,915.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb8.68
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,285.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,160.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$214.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$64.80
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$325.00
Innolux (3481.TW)	E (04/07/2025)	NT\$68.70
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$7,360.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb53.66
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$87.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb21.22
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.82
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb9.91
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb317.60

Howard Kao

Acer Inc. (2353.TW)	U (04/23/2025)	NT\$33.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$700.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$35.30
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$7.11
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,200.00

Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb70.00
Lenovo (0992.HK)	E (11/16/2025)	HK\$23.02
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,110.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,185.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$83.80
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$368.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb173.40
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb457.90
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,070.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$158.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$4,635.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$1,140.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$630.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,525.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,010.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$209.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,950.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,680.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb72.15
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$55.30
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.53
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$251.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,020.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb17.34
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$222.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb70.40
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$142.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$267.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$347.00

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* Historical prices are not split adjusted.